

Interview Feedback

Brew & Bean Profitability · 2026-07-04 · Overall: strong

Top improvement

Stress-test demand/elasticity BEFORE committing to a price-increase recommendation. You nailed the root-cause diagnosis and math, but you recommended raising prices 15-20% without first verifying whether the 15% revenue growth was traffic- or price-driven — a gap the interviewer had to catch. Surface the pricing-power constraint proactively and shift toward selective increases on inelastic specialty SKUs plus supply-contract hedging rather than a blanket hike.

Rubric Scores

Problem Structuring

strong

"My structure: 1. Isolate the margin driver — Is this expansion-driven (new stores pulling down blended margin) or same-store deterioration... 2. Break the P&L — Which cost bucket blew up? COGS, labor, overhead, or some combo? 3. Dig into the winner... 4. Recommend a fix"

"This tells me if I'm chasing a growth/scaling story or an operational efficiency problem."

Quantitative & Analytical Rigor

strong

"The 16-point COGS jump directly eats 16 points of margin. The 2-point overhead increase eats another 2 points. That's 18 points of the 18-point profit decline (24% '6%)."

"Today: \$6.80 transaction price, 58% COGS = \$3.94 COGS per transaction... COGS per transaction jumped 51% (\$2.60 ' \$3.94), but price only jumped 10%."

Data & Exhibit Interpretation

strong

"COGS is the problem. 16-point jump from 42% '58% accounts for nearly all the margin collapse. What drove COGS up?"

"That explains most of it. If coffee is ~30-35% of COGS (typical for specialty), a 40% spike adds ~12-14 percentage points to overall COGS."

Business Judgment & Insight

meets bar

"Raise menu prices another 15-20% to fully offset the 40% coffee cost shock and restore margin toward 12%. The question becomes: Can they raise prices 15-20% without losing volume?"

"That's aggressive and unrealistic. More practical: raise prices 15-20%... and accept a compressed margin in the 8-10% range, or pair with operational cost cuts."

Creativity & Brainstorming

meets bar

"Parallel track: Identify COGS reduction opportunities—supplier renegotiation, menu redesign, waste reduction—to reduce reliance on pricing alone."

"Did product mix shift? If they sold more food/pastries or lower-margin items, that could account for 2-4 points"

Synthesis & Recommendation

meets bar

"Root cause: Coffee costs spiked 40%, they only raised prices 10%—absorbed the gap, margin collapsed. Recommendation: Before raising prices further, verify whether the 15% revenue growth came from traffic volume or price alone."

"Confidence: High on the root cause. Medium-low on the exact fix without traffic data."

Communication & Delivery

strong

"Bottom line: The root cause is pricing didn't keep pace with input cost inflation."

"So it's same-store sales growth of 15%—not expansion-driven. That means cost structure deteriorated at existing stores."

Pushback, Composure & Case Leadership

strong

"You're right—I assumed without checking. If prices went up 10% but traffic dropped significantly, raising prices another 15-20% could make it worse."

"if revenue per store grew 15% on only a 10% price increase, that implies volume (transactions/traffic) grew ~4.5%—which is healthy. But I haven't verified that."

Model Answer

Structure

Strong structure disaggregates profit = revenue - costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: selectively raise prices by 8–12% on high-margin SKUs (specialty drinks) where demand is less elastic, while negotiating multi-year bean supply contracts to lock in cost. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:02

Thanks for walking through the case prompt with me. So Brew & Bean's margins are down from 12% to 6% over two years, even with revenue growth — that's the puzzle we're solving.

How would you structure your approach to diagnosing the root cause? Thanks for walking through the case prompt with me. So Brew & Bean's margins are down from 12% to 6% over two years, even with revenue growth — that's the puzzle we're solving. How would you structure your approach to diagnosing the root cause?

Candidate · 0:20

My structure: 1. Isolate the margin driver — Is this expansion-driven (new stores pulling down blended margin) or same-store deterioration (existing stores got worse)? 2. Break the P&L — Which cost bucket blew up? COGS, labor, overhead, or some combo? 3. Dig into the winner — Test the most likely culprit with available data. 4. Recommend a fix — Based on root cause. First question: Do you know if the 200 stores today includes significant new locations opened in the past two years, or mostly the same footprint? This tells me if I'm chasing a growth/scaling story or an operational efficiency problem.

Interviewer · 0:21

Okay. You don't have that information yet, but it's a fair question. What data would you pull first to answer it?

Candidate · 0:35

Store count two years ago. If they've gone from, say, 120 ' 200 stores, new unit ramp explains most of the margin compression. If it's been stable around 200, then same-store economics deteriorated and I'm hunting for cost creep.

Interviewer · 0:36

200 stores

Candidate · 0:51

Store count was 200 two years ago, 200 now. So it's same-store sales growth of 15%—not expansion-driven. That means cost structure deteriorated at existing stores. COGS, labor, or overhead grew faster than revenue. What's the breakdown of COGS and labor as % of revenue, two years ago vs. today?

Interviewer · 0:53

58% of revenue (up from 42% two years ago) 22% of revenue (stable) 14% of revenue (slight increase from 12%)

Candidate · 1:08

COGS is the problem. 16-point jump from 42% ' 58% accounts for nearly all the margin collapse. What drove COGS up?

Interviewer · 1:09

Walk me through that math.

Candidate · 1:27

Two years ago: COGS 42% + Labor 22% + Overhead 12% = 76% costs ' 24% profit Today: COGS 58% + Labor 22% + Overhead 14% = 94% costs ' 6% profit The 16-point COGS jump directly eats 16 points of margin. The 2-point overhead increase eats another 2 points. That's 18 points of the 18-point profit decline (24% ' 6%). So: What drove the COGS spike?

Interviewer · 1:28

Okay. What data would you pull to figure out what's behind that COGS jump?

Candidate · 1:47

Input costs first. Coffee, milk, packaging—did commodity prices spike? Did they change suppliers or lose volume leverage? A 16-point jump is structural, not creep. Most likely it's either input cost inflation or a product mix shift toward lower-margin items. Input costs would show up fastest. What are coffee bean costs today vs. two years ago?

Interviewer · 1:47

+40% increase in raw coffee bean costs

Candidate · 2:04

That explains most of it. If coffee is ~30-35% of COGS (typical for specialty), a 40% spike adds ~12-14 percentage points to overall COGS. You've got a 16-point jump, so there's ~2-4 points unexplained. Questions: Did other inputs (milk, packaging) also spike? Did product mix shift toward lower-margin items? Any increase in waste or shrinkage? What data do you have on the rest of the cost basket?

Interviewer · 2:06

I don't have itemized breakdowns of milk, packaging, or waste yet. What would help you narrow down the remaining 2 to 4 points?

Candidate · 2:25

Did product mix shift? If they sold more food/pastries or lower-margin items, that could account for 2-4 points without commodity prices moving elsewhere. Or: What's your next-largest COGS component after coffee—milk? packaging?—and did its cost move?

Interviewer · 2:26

Understood. Are you asking me to tell you what the next-largest component is, or are you asking what data you'd need to pull to figure that out yourself?

Candidate · 2:39

What's the next-largest COGS component after coffee, and what did it cost two years ago vs. today?

Interviewer · 2:40

I don't have that granular breakdown in the data I've been given. What would you do next to narrow down whether the remaining 2 to 4 points came from other input inflation, product mix, or operational loss?

Candidate · 2:56

Did menu prices increase? If they raised prices 10-15% to partially offset the 40% coffee spike, that would explain why they didn't fully absorb the hit. If prices stayed flat, they absorbed the entire cost increase and have a pricing power problem. That's the fastest way to narrow down whether the remaining 2-4 points is secondary input inflation, mix, or just incomplete price pass-through.

Interviewer · 2:58

That's a fair lever. Do you want to ask for average transaction value or pricing data to test that?

Candidate · 3:09

Yes. Menu price changes (% increase or dollar amount) over the two years.

Interviewer · 3:10

\$6.80 (up from \$6.20 two years ago, +10%)

Candidate · 3:34

That's the gap. They raised prices 10% but coffee costs jumped 40%. They covered ~25% of the input inflation through pricing and absorbed the other ~75%. A 16-point COGS jump with a 10% price increase means the remaining 2-4 points is likely just the residual math of not pricing aggressively enough, possibly plus some minor waste or mix shift. But it's noise. Bottom line: The root cause is pricing didn't keep pace with input cost inflation. Recommendation: Raise menu prices another 15-20% to fully offset the 40% coffee cost shock and restore margin toward 12%. The question becomes: Can they raise prices 15-20% without losing volume? That's a demand/elasticity question I can't answer without more data. But operationally, that's what the math demands. Does that track?

Interviewer · 3:34

Walk me through that.

Candidate · 3:58

The math: Two years ago: \$6.20 transaction price, 42% COGS = \$2.60 COGS per transaction Today: \$6.80 transaction price, 58% COGS = \$3.94 COGS per transaction COGS per transaction jumped 51% (\$2.60 ' \$3.94), but price only jumped 10%. They're absorbing a 41-point gap. To restore the 12% margin: Need COGS back to ~42% of revenue. At current COGS per transaction (\$3.94), that requires revenue per transaction of ~\$9.40. That's a jump from \$6.80 ' \$9.40 = 38% price increase needed to fully offset and restore margin. But that's aggressive and unrealistic. More practical: raise prices 15-20% (to \$7.80-\$8.15) and accept a compressed margin in the 8-10% range, or pair with operational cost cuts. My confidence: High on the root cause (pricing didn't keep pace with input inflation). Medium-low on the exact price point, because I don't know demand elasticity or competitive constraints. Does that align with what you're seeing?

Interviewer · 4:00

You're assuming that raising prices is the right lever. What if customers already walked or volume dropped when they raised prices from six-twenty to six-eighty? Did you check whether volume per store actually grew that 15%, or could revenue growth be driven by price alone?

Candidate · 4:15

You're right—I assumed without checking. If prices went up 10% but traffic dropped significantly, raising prices another 15-20% could make it worse. And if revenue per store grew 15% on only a 10% price increase, that implies volume (transactions/traffic) grew ~4.5%—which is healthy. But I haven't verified that. What I should have asked: Did transaction count or store traffic actually grow, or did the 15% revenue growth come mostly from the 10% price increase? If traffic is flat or down and the 15% revenue growth is price-driven, then they already hit demand elasticity and can't price higher without destroying volume further. Do you have store traffic or transaction data?

Interviewer · 4:17

We're down to about 30 seconds. Given what you've uncovered, what's your bottom-line recommendation to the CEO right now?

Candidate · 4:34

Root cause: Coffee costs spiked 40%, they only raised prices 10%—absorbed the gap, margin collapsed. Recommendation: Before raising prices further, verify whether the 15% revenue growth came from traffic volume or price alone. If traffic is flat, they've already hit elasticity and pricing higher backfires. If traffic grew, pricing is viable. Parallel track: Identify COGS reduction opportunities—supplier renegotiation, menu redesign, waste reduction—to reduce reliance on pricing alone. Confidence: High on the root cause. Medium-low on the exact fix without traffic data.

Interviewer · 4:35

Let's continue — what are your thoughts?

Candidate · 5:02

Self-critique: I nailed the root cause diagnosis—isolated COGS, identified the 40% coffee spike as the driver, did the math to show prices didn't keep pace. That part was solid. But I failed the most important part: I recommended pricing as the fix without stress-testing it. I assumed volume grew because revenue grew, then recommended raising prices 15-20% without ever asking whether they'd already hit demand elasticity. That's sloppy—the interviewer caught me by asking if the 15% growth was even traffic-driven, and I had no answer. What I should have done: After identifying the coffee cost driver, I should have said: "Before I recommend raising prices, I need to know if traffic actually grew or if the revenue bump was price-only. If they've already lost volume to the first 10% price hike, pricing higher is dangerous." Lesson: Root cause diagnosis isn't enough. Always validate your assumptions before recommending a lever—especially when it touches customer demand. How'd I do overall?

Interviewer · 5:03

Let's continue — what are your thoughts?